China's infrastructure-for-minerals model in Southern Africa will face increasing resistance from host-nation resource nationalism over the next 12 months, forcing Chinese firms to shift from raw extraction to domestic processing and value-addition.

70%

PROBABILITY

Target: June 2027

Confidence: Medium

ANALYSIS

POLITICAL

Southern African governments are becoming more assertive in demanding that Chinese infrastructure investments deliver tangible local benefits beyond basic extraction. Zimbabwe's raw lithium export ban (2024) and subsequent demand for domestic beneficiation plants is the clearest example — the government explicitly told Chinese firms to "process our lithium into battery-grade material here" and "smelt our platinum on Zimbabweal soil." This resource nationalism is spreading: Zambia has signaled similar intentions, and Angola is leveraging the Lobito Corridor to extract better terms from all foreign mining partners, including China. However, African governments remain pragmatic — they need Chinese capital and infrastructure too much to force a full reckoning. The likely outcome is a negotiated shift where Chinese firms accept higher processing costs in-country in exchange for continued long-term mining access and infrastructure financing. The political risk for China is not expropriation but gradual erosion of favorable terms.

ECONOMICS

China's economic leverage in Southern Africa remains formidable. Bilateral trade exceeded $300 billion in 2025. Chinese banks are the largest creditors to several Southern African nations, and Chinese firms control 78 commercial ports across 32 African countries. The Lobito Corridor, TAZARA railway, and Dar es Salaam port infrastructure give China control over the logistics arteries through which critical minerals flow. However, the economics are shifting: host nations are capturing more value locally (Zimbabwe's $1bn in Chinese processing plant investments is a direct result of export bans), and competition from Western firms — backed by US/EU critical minerals initiatives — is increasing. China's cost of doing business in the region is rising, but its integrated supply chain (mining → processing → refining → battery manufacturing) gives it a structural advantage that competitors cannot quickly replicate.

MILITARY

While the military dimension is less prominent than economic or political factors, China's growing infrastructure footprint in Southern Africa has strategic military implications. The Lobito Corridor and associated port infrastructure could theoretically serve dual-use purposes. More significantly, China's dominance of cobalt, rare earths, and lithium supply chains gives it leverage over Western defense supply chains — these minerals are essential for advanced weapons systems, radar, and military communications. The US recognition of this vulnerability (evidenced by the Greenland rare earth deal and PGII infrastructure investments) suggests that the military-strategic dimension of China's Southern African mineral plays will become more explicitly contested over the coming year.

TECHNOLOGICAL

China's technological edge in Southern African mining is twofold: extraction/refining technology and the downstream manufacturing that uses the extracted minerals. Chinese firms control the processing know-how for cobalt refining (China refines ~70% of the world's cobalt, most of it from DRC-origin material) and are rapidly building lithium processing capacity in Zimbabwe. The beneficiation shift demanded by host nations actually plays into China's hands technologically — by building processing plants locally, Chinese firms extend their technological lock-in deeper into the supply chain. However, Western nations are investing in alternative processing capacity (e.g., US investments in Australian and Canadian critical mineral processing), which could erode China's dominance over time. The key uncertainty is whether African nations can develop independent processing capabilities or will remain dependent on Chinese technology even for domestic beneficiation.